WARRANTY ATLAS · Kentucky (KY)

Law last amended: 2026 (eff. 2026-07-15) · Next scheduled change: none found · Last verified: 2026-09-25 · Built 2026-10-22

Cites: KRS 190.046; KRS 190.0462; KRS 190.057; KRS 190.062; KRS 190.070(1)(n); KRS 190.990(1)

Labor reimbursement by coverage type

Coverage	Status	Paid hours	Pinpoint / date note
Factory warranty	**Required**	Factory time (reasonable/adequate standard where stated)	§ 190.046(1); Class 7+ exception at (2)(d)4
Mfr-backed service contract	**Not addressed**	-	§ 190.046(2)(d)5 (Class 7+ component manufacturers only)
CPO warranty	**Not addressed**	-	§ 190.046(1)
Independent service contract	**Not addressed**	-	§ 190.046(1)

Hourly rate: 'Reasonable compensation', where the principal factor is 'the amount of money that the dealer is charging its other customers for the same type service or repair work'. Floor: not less than the dealer's charges to retail customers for like nonwarranty services (parts at least cost + 30% gross profit), or the warranty-compensation schedule filed with the Motor Vehicle Commission. The statute has no RO-sample formula.

Audit fields

Field	Rule	Pinpoint
Claim decision	30 days; late claim deemed approved: Yes. Specific disapproval in writing within 30 days. Failure to meet mfr processing requirements is not grounds for denial or reduction if the dealer presents reasonable documentation (§ 190.046(6)). No unreasonable proof may be required (§ 190.046(2)(e))	KRS 190.046(3)(c)-(d)
Payment	30 days after approval. Dealer filing deadline: Mfr may not require submission sooner than 30 days after the dealer completes the work (90 days for Class 7+ vehicles, § 190.046(2)(d)9.). If a claim is incomplete or inaccurate, or a problem is found in audit, the mfr must promptly notify the dealer and extend the su…	
Chargebacks	12 months; fraud: With evidence that would lead a person of ordinary caution to believe…. Audits of warranty, recall, sales and incentive claims only within 12 months after payment, or the end of a program lasting 1 year or less, whichever is later. No documentation demands after that window. Before any chargeback, written notice with a copy of th…	KRS 190.046(7)(a)
Rate resubmission	Silent. Sample: No statutory labor-rate sample. Excluded: none listed.	KRS 190.046(2)(a)
Mfr response	Silent; no response = approved: no rule in statute. Challenge: Forum: Motor Vehicle Commission administrative hearing (KRS 190.057, conduct….	KRS 190.046(3)(f)
Penalties	Civil action in Franklin Circuit Court for an injunction, actual damages, costs and a reasonable attorney's fee (KRS 190.062(1); the text says 'a violation of this section') The Motor Vehicle Commission may deny, suspend or revoke a mfr or distributor license and/or impose civil penalties up to $1,000 per violation for noncompliance wi…	KRS 190.062, 190.070(1)(n), 190.990(1)
Audit procedures	Audit climate score 31/100 (Elevated restrictiveness; chargeback limits 27/75 + process and oversight 4/25; measures how strict the law is, not how likely a dispute is; weights in draft). Advance notice: no; selection basis disclosed: no; frequency cap: none; written reasons: yes; response period: 5 days; internal appeal: no; held pending appeal: no; extrapolation: silent; clerical-error protection: yes; rate validation: broader or no procedure.	

Statute quotes

Claims *(KRS 190.046(3)(c)-(d)): "All claims shall be either approved or disapproved … within thirty (30) days after their receipt … Any claims not specifically disapproved in writing within thirty (30) days after the receipt of the form shall be considered to be approved"*

Chargebacks *(KRS 190.046(7)(a)): "A manufacturer or distributor may only audit warranty, recall, sales, or incentive claims for a period of twelve (12) months following payment, or the end of a program which does not exceed one (1) year in length, whichever is later"*

Rate *(KRS 190.046(2)(a)): "the principal factor to be considered shall be the amount of money that the dealer is charging its other customers for the same type service or repair work."*

Factory time *(§ 190.046(1); Class 7+ exception at (2)(d)4): "Each manufacturer or distributor shall provide to its dealers with each model year a schedule of time allowances for the performance of warranty repair work and services, ... and shall be reasonable and adequate for the work to be performed."*

Notes

HEAVY-TRUCK REGIME, effective 7/15/2026 (2026 Ky. Acts ch. 83), for vehicles of Class 7 or higher under 49 C.F.R. 565.15: (2)(b) and (2)(c), incl. the retail floor, apply 'Except as provided in paragraph (d)'. Parts: at least actual acquisition cost incl. freight, handling and taxes, plus a 30% gross profit margin. Also reimbursed: technician and warranty-admin training/certification, warranty IT (diagnostic computers, software), and special tools. Payment is per repair (as agreed, or at retail-equivalent amounts) or periodic, at least annually, at the dealer's election. Labor: actual hours of a trained or certified tech are the basis, unless the mfr proves by clear and convincing evidence they were unreasonable; labor guides are not sufficient evidence. Component manufacturers are liable as if primary, and the OEM stays primarily liable. Parts may not be refused after testing unless re…

Source: official · https://apps.legislature.ky.gov/law/statutes/statute.aspx?id=57533 (KRS 190.046, effective July 15, 2026) · Confidence: high. Public-source research summary for audit planning, not legal advice. No company-approved rates. Confirm against the cited statute; escalate disputes to Legal.